

The Social Radars

S4: Drew Houston, Founder and CEO of Dropbox

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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

I'm so excited because today on The Social Radars, we have Drew Houston, founder and CEO of Dropbox joining us. Hi, Drew.

Drew: Hey, great to be here.

Jessica: Thanks for coming today. I'm so happy to see you. It's been a while.

Drew: It has.

Jessica: We have a lot to cover because we have known you since 2006 when you first came to a YC dinner as a guest of Adam Smith of Xobni.

Drew: That's right.

Jessica: You were his big brother in your fraternity at MIT, right?

Drew: Yep, yep. And we're still really good friends. He just had his birthday this last weekend. A lot of the old YC crew are still in touch and hang out all the time.

Jessica: Oh my gosh. That makes me so happy. Well, I'm going to come back to that in a second. So you were both in Boston, you had graduated from MIT at this time. And were you working on ... is it Accolade, the SAT prep company?

Drew: SAT prep. Yep.

Jessica: He was working on Xobni and so he said, "Hey, do you want to come to this dinner?"

Drew: Yep.

Jessica: You must've been inspired having come to the dinner.

Drew: Totally. Well, actually a lot of the YC story starts, or at least my connection to YC starts around then or even before then. So I actually applied to YC in the 2005 batch because

I'd heard of Paul Graham because of the anti-spam stuff he had done in 2001, and then applied with the online SAT prep idea. Did not make it.

Jessica: Hold on one second. Hold on. You followed the spam stuff?

Drew: Yeah.

Jessica: I never knew that after all these years because that's pretty niche.

Drew: That's right.

Jessica: Okay, so you applied in 2005 with the SAT prep?

Drew: Didn't make it into that batch. A totally right answer, by the way. There were a lot of issues with that first company. But yeah, a lot of my friends and I had this dream of graduating from college, a lot of us had gone to MIT, and moving out to California and starting companies. And there were these waves of people moving west, including Adam, and then I was getting antsy being stuck in Boston. I went to that first YC dinner with Adam. I was actually that annoying guest that asked way too many questions and didn't get the memo about etiquette.

Jessica: Drew, I remember that. I don't know if you ever knew this, but do you know that we instituted a rule after that dinner.

Drew: Oh, great.

Jessica: Which was, "We love having guests, but the guests are not allowed to ask questions."

Drew: Yeah.

Jessica: We said that to the guests.

Drew: Right, so more pioneering.

Jessica: I think it's great that you asked questions. Sorry.

Drew: So yeah, no, the path into YC was a little rough. And then eventually applying myself with Dropbox not long after that because ... I'll back up a little bit. So I went to the dinner with Adam in Boston because he had just done Y Combinator with his co-founder, Matt, and his company, Xobni. But they, a couple months after that, moved away. So after demo day for their batch, they moved to California. They raised \$5 million bucks from Vinod Khosla or something, and so I just felt increasingly removed and left out of all of this happening. And these were the days when all the Y Combinator companies would move into this big ... We called it the Y-Scraper. It was sort of a startup dorm. There were a dozen companies all in there.

Jessica: So the Y-Scraper sort of started before you then.

Drew: Yeah.

Jessica: I'm already learning something. It started with the Xobni guys the year before.

Drew: Yeah.

Jessica: Okay. All right.

Drew: Yep. And so I would visit, but I sort of felt increasingly removed from that being in Boston.

Jessica: Okay. But then I think you came to startup school and you actually showed Trevor Dropbox because we all know that you switched ideas because you had the famous ride on the Chinatown bus and forgot your thumb drive and were so frustrated that you wanted to solve your own problem. So you switched ideas. Was that a big deal or were you just messing around sort of like, "Oh, I'm going to just build this"?

Drew: Yeah. The origin of Dropbox was actually during that SAT prep company and the problem I had was very basic, which was I had needed to work across different computers, which was kind of a niche use case. Most people just had one computer, but I had a laptop and a desktop and there was a lot of stuff that needed to move back and forth. So the state-of-the-art back then was the thumb drive. And after graduating from college, a lot of my friends had moved to New York and I wanted to visit them. And to justify taking the trip, I'm like, "Oh, I'll get all this work done because I'll bring all my stuff with me," and then I get on the bus and realized something had gone wrong, I had forgotten my thumb drive. I'd left it in my computer at home.

And so then instead of having this four or five hours each way on the bus to work, I was just out of luck. And there was no wifi on the Chinatown bus from Boston to New York back then. This was pre-iPhone, pre-wifi. And you know, I didn't have any Family Guy episodes on my laptop or anything so I was just doing nothing and just hating myself. And I'm like, "I'm so disorganized," but then I'm like, "I never want to have this problem again," and then I started coding more just, again, for ... The customer was just me. I had had issues like this before and I'm like, "I want to permanently solve this problem."

But it wasn't some grand revelation. I think it was more just like, "Oh, here's another little side project among many little side projects," but this was one that really kind of kept pulling me very quickly after starting to work on it because I'm like, "Oh, this is a really painful problem for me," but then it's also frustrating because I tried all these other tools that were supposed to solve this genre of problems with getting to your stuff from anywhere and none of them worked. So it didn't start as a company, but I was like, "I really just don't want to deal with this as a frustrated user of technology anymore."

Jessica: Yeah. And nothing did work and that's what I remember. There were a lot of solutions, but none of them actually were very good, right?

Drew: Yeah, and a bunch of different reasons. I think there was no cohesive, holistic solution. So a lot of the other startups at the time kind of nibbled around different edges of the problem. So you'd sign up for one service to back up your computer, but then you'd sign up for another service if you needed to share big files with someone, you'd sign up for another service to sync things between different computers. The first problem was that you had five of these things. The second problem was that all of them, only half worked. My litmus test for this would be to go to the support forums of these tools and it would be like a battlefield medical tent or something. All these poor people are like, "Oh, my wedding photos are gone," "My tax returns are gone," and I'm like, "Oh my God. Nobody has made a reliable version of this." But again, it wasn't a startup idea.

Jessica: Right.

Drew: It was just more like, "My stuff is too important to trust to these half-baked things and this really needs a rethink, and it would just be a lot easier if I just had one magical folder that would sync everywhere."

Jessica: So what made you apply to YC with this idea? You thought, "Wow. Actually, this is pretty big and there is a need. I think I'll try it"?

Drew: Yeah. Yeah, and I just saw how much fun that Adam and that whole cohort of people who had all moved to San Francisco right out of college together ... Everybody was just having a blast. And it was a wild time because Justin.tv was one of the companies. It was kind of like a Truman Show, 24/7 broadcast of a bunch of startup nerds writing code and starting companies and riding around in Zipcars around San Francisco. But I just felt I had this big FOMO where it was actually like ... I didn't even really care that much about what idea I had. I just wanted to get into Y Combinator or wanted to get into that ecosystem, but it was also pretty clear that Dropbox was something that was a better fit for me personally because I had done the SAT prep thing for a couple of years at that point and was kind of burning out on it. It was more obvious in hindsight.

I was like, "As much as I love standardized tests as much as anyone can," at some point you're like, "I don't know if I can write another question, like a math question, for a fake test about parallel lines or the train leaving Memphis at 4:22." And I was just like, "I can't," and I just kept getting distracted by other stuff. But then after having that ride on the bus and starting, I just became obsessed with solving this problem. And then it was very clear that this would be a good candidate for Y Combinator. I was even working at another job, as an engineer during the day, so I quit that job even before getting into YC because I'm like, "I just want to go all in on this. What's the worst that could happen?"

Jessica: Can I quickly back up?

Drew: Yeah.

Jessica: I want to just ask you, did you grow up building things? How old were you when you first started programming?

Drew: Yeah, I grew up building things all the time. My first line of code, I was five. My dad had a PC Junior in the living room and that was our thing. He would show me how to play games on it and then I wanted to make my own games.

Jessica: Oh, okay.

Drew: And he showed me my first lines of basic code when I was five or six. But then you have a lot of time on your hands as a little kid.

Jessica: Right.

Drew: So I got my 10,000 hours in way ahead of schedule when it came to programming.

Jessica: Wow. Okay. I grew up outside of Boston too and I was never exposed to programming or startups. What things were you exposed to back then besides your dad's PC Junior?

Drew: It was really that I got into programming and I got into startups through playing games. So initially, I would play the games and then I wanted to make my own games, so that's really how I learned programming. First in Basic, then in Pascal and C and a bunch of other languages. And my first job, my first programming job, my first non-babysitting job, was actually for this game company that was building what we would now call a massively multiplayer online game and I signed up to be a beta tester for free. But I found testing the game was kind of boring because it took the developers a long time to make it. There wasn't that much to do so I started poking around under the hood of the game and finding all these security problems. And so I would send the developers messages from themselves being like, "Hey, guys. You should really fix this and this."

Jessica: No way. From themselves?

Drew: Yeah.

Jessica: That's so funny.

Drew: Killing everybody in the game with lightning bolts and things like that. I mean, a little bit of malfeasance, but eventually I reached out to them. I'm like, "Hey, here's how to fix this and this and you shouldn't trust this." And they were like, "Cool, do you want to fix that for us? Because one of our programmers just quit," and I'm like, "Well, I'm not going to move to Colorado. I live in Boston. But if I can do it remotely and if it's okay that my dad signs the paperwork because I'm not 18, then yeah. Let's do it." So I had a remote programming job. I had worthless equity in a startup that never went anywhere. It was the first of a few of those experiences.

Jessica: Wow.

Drew: Yeah. I thought I was going to be a career game developer, but then that remote experience, it didn't last. It was a few months that bridged me to getting a more normal internship at another local startup, which wasn't doing games. But yeah, I thought I was

going to be a game developer and just make my own stuff, and then that shifted to just starting a company, any company. But I'm not really sure where that initial instinct came from.

Jessica: Well, it clearly goes way back.

Drew: Yeah.

Jessica: I mean, you saw your first lines of Basic when you were five or six. Okay. That explains everything. So you start working on Dropbox full-time. You quit your job. You apply to YC. You get an email from Paul that says, "We'd like to invite you to interview, but by the way, you should probably get a co-founder," right?

Drew: Yeah. Yeah. That was rough because ... Well, one good thing about working on the SAT prep company was you had to understand college admissions and YC was a lot like that. The fundamental issue is there's a million people applying for not many spots, and so the question is, as with college admissions, can you get some kind of hook or differentiate yourself or is there some kind of side door? So I tried to find a couple side doors into YC that didn't go very well. Besides embarrassing myself at that dinner, that wasn't the only thing.

Jessica: No.

Drew: I also tried to drop in at one of the YC dinners before the application to see if Paul would be willing to see an early demo of Dropbox. Because during that co-founder hunt, which started before that Paul email, one guy was like, "I'd be interested in joining if Paul thinks this is a good idea." So I'm like, "Okay, I'll drop by the YC dinner," because I was in California for a few days and that did not go well. Showing up unannounced was a bad idea.

Jessica: Oh, no. Paul's going to feel really guilty.

Drew: No, no.

Jessica: This is making me cringe.

Drew: Yeah, no it was totally deserved. It was a rough period being like, "Not only did I not get feedback, but I think the dean of admissions is not a fan of me."

Jessica: Hold on. You managed to show the demo to Trevor who ...

Drew: I did.

Jessica: Serious systems programming stuff that Paul wouldn't have even understood anyway and Trevor got it. And Trevor was like, "This is really good," so we invited you to the interview.

Drew: Yeah.

Jessica: Yeah.

Drew: Right.

Jessica: And by the way, you did not embarrass yourself at that dinner where you asked questions. I just like to tease you about it.

Drew: Well, I mean, it continued because I went to that startup school. So YC does a startup school every year and there's a little after party thing, and so I was in that vein of being that guy. I was literally walking around the party with a laptop, showing anyone who would listen like, "Oh, yeah. This is Dropbox. It does all." But again, it was all in service of like, "All right. How do I sort of differentiate myself?" even at the cost of some dignity I guess.

Jessica: No, but you were persevering, Drew.

Drew: Yeah.

Jessica: This is an indication that you were just going through the walls.

Drew: Yeah. For sure.

Jessica: If someone had told me no like that, I would have disappeared. You didn't disappear. You stuck with it.

Drew: Yeah. Relentlessly resourceful. I was trying to embody that.

Jessica: So you come to the startup school party, you show demos, we invite you. Tell us how you got Arash because I know we had Kyle Vogt on the show and he talked about how he had introduced you guys.

Drew: Yep. So I would visit San Francisco and visit all these guys, including Kyle Vogt, who you mentioned, who started Justin.tv. So that was the context where I knew him and I had met him at MIT because he was a few years behind me and we met each other at the Entrepreneurs Club. And I would just go to San Francisco and try to shake the trees for potential co-founders basically and be like, "All right. Do you know anyone good? Do you know anyone good?" And then Kyle mentioned that he had a floor mate from his dorm named Arash who also did programming competitions in MIT and might be someone for me to talk to, and so Kyle introduced us. I went down to the student center at MIT because Arash was still in college, he was maybe a junior or a senior, and I started chipping away at him to see if he'd be willing to ... He would have to drop out of school to do this.

So we met on a Monday or something and I'm expecting for this to be a process and to have to call his parents to convince him I'm not some weirdo and things like that. But to

Arash's kind of enormous credit, or maybe our collective folly, he just dropped out of school a couple of days later to do this and we threw in together and went to go interview at YC. And the other thing we did that helped get us into YC was I made this demo video and put it on Hacker News.

Jessica: Ah.

Drew: And so that also played a role here because that was actually, again, through that college admissions kind of thinking, and I'd read a book called Guerrilla Marketing, "How do you attract attention to your product or service if you have no money?" So these kinds of tactics were an example of what the book talked about, and so I made this demo video of Dropbox. I figured, "Well, what does Paul likely do most days? Probably what the rest of us do: Hit refresh on Hacker News." So I'm like, "All right. If I can get in front of him there, maybe that'll be good and then maybe that'll also help with this co-founder search." And sure enough, I made this three-minute video, it's still out there, and it hit the top of Hacker News for two days.

Jessica: Oh, wow.

Drew: It got some colorful comments and skepticism, but mostly it just put us on the map and it got Paul's attention. And actually, Arash had seen the video before Kyle introduced us. So that ended up being the most pivotal thing to get Dropbox to transition from kind of just being this concept to starting to take on a life of its own.

Jessica: I love it. And I remember the interview. I remember we were all like, "Oh, yeah. Definitely." So we said yes. Now I was listening earlier to this interview I did with you. What were you just about to say?

Drew: Well, there's one more thing. So after we got the call saying we got into Y Combinator ...

Jessica: This is what I was going to ask you about. This is what I'm going to ask you about. Tell the story.

Drew: So happily, we did the interview. We get a phone call from Paul saying, "Hey, we'd like to fund you." We're like, "This is great," so that's moving forward. And then we go back to our Zipcar and then we discover that the car had been broken into and our laptops were stolen. But it was okay because literally all of our stuff was on Dropbox so we didn't actually lose any data.

Carolynn: Oh, that's a great story.

Jessica: That is insane. And I had forgotten that story, Carolynn. And earlier today, I revisited this total cringe-worthy video interview that I did with Drew in 2010. I was so bad I couldn't even listen to myself, but he told that story and I almost fell out of my chair. I did not remember that story.

Drew: Yeah, it was nuts.

Jessica: I bet you were in a pretty good mood though, Drew. I bet you were pretty high.

Drew: We were. We were like, "Yeah, it's all right."

Jessica: Pretty high after that call. So I'm really interested to reminisce a little bit about fundraising because you had some interesting stories happen. Now you were in the summer '07 group in Cambridge because it was in the summer when we still did both coasts. And your pitch was very interesting because you actually deleted the PowerPoint mid-pitch in front of the audience to sort of showcase how the product worked. Were you nervous about doing that?

Drew: Yeah. I mean, we were always doing the same thing. We were just thinking, "How do we differentiate ourselves?" But one of the gimmicks or hooks we put in the demo was, yeah, close the presentation, delete it, and then Dropbox lets you undo or have version history for everything so you could bring back the file. I think that period was just so sleepless and crazy that I don't think we even thought about, "Oh, what if this doesn't work?" We were like, "This has to work. Everything is duct taped together. There's only one way through this." But yeah, it worked great and I think it was something that stuck with a lot of the investors.

Jessica: You once described that fundraising time as a crazy fever dream. Can you tell us a little bit more about that?

Drew: Well, it was wild. In Boston, we did all the same demo and everything, but mostly the investors just pointed out potential problems. They were like, "Well, this is kind of a graveyard. A lot of startups have failed at this. Google and Microsoft are going to kill you," which by the way, it's not even wrong. I'm like, "That's probably what will happen." But we go to California and we go to Mountain View and, yeah, do the whole delete the pitch and restore it and finish our demo, and we were the last company before a break. And then this investor comes sprinting up the aisle and I'm thinking he wants to talk to me, but he blazes by me and starts speaking to Arash in Farsi because they're both Persian. He said his name's Pejman.

And this was just yet another ridiculous thing, so he was like, "You guys, I'd love to talk to you about angel investing." We didn't really know who he was, didn't recognize his firm, so I was sort of like, "Who is this guy?" But he's very persistent and kind so he was like, "Yeah," and we were like, "Sure, we'll come visit you in Palo Alto." And then the day he comes and we rent a Zipcar and we go down to University Ave and I'm like, "Oh, man. We're running late." There's no parking spot. Okay, we find one. And then I look up and I'm like, "Medallion Rug Gallery?" I'm checking the email on my phone. I'm like, "Now I'm late and I'm lost." But I'm like, "It is the same street number so okay. Let's see what happens." I open the door and I'm like, "I'm so sorry to bother you," to the receptionist, "but is Pejman here?" and she's like, "Oh, yeah. Absolutely." You look around and it's rugs and people looking at rugs.

Jessica: I know Medallion Rug Gallery.

Carolynn: Yeah, I think I do too.

Jessica: That's why I'm laughing extra hard.

Carolynn: I think I know it too.

Drew: Yeah. Yeah. But it turns out, of course, Palo Alto, the rug gallery has a secret back exit into a boardroom that's set up for startup pitches. And so we talked to him about Dropbox and Pejman ... It was really sweet. He made an introduction to ...

Drew: ... Pejman, it's really sweet, he made an introduction to Sequoia and we were like, "We're not ready for this that should come later." But he was, again, very persistent and kind and so next thing we knew, we were at Sequoia's offices on a Friday. Pejman came with us, and so he was sort of sitting with us in the pitch, which is, I learned later, quite unorthodox.

I get an urgent phone call that night from our partner there saying, "Hey, Mike Moritz wants to meet you. We'd like you to meet the partnership, but Mike's not going to be there; he can only meet on Saturday morning, tomorrow morning." So I'm like, "Okay, yes." And then we're like, "Oh, where do you want to meet?" I'm like, "Well, there's a lot of great coffee shops in North Beach, or you can come to Dropbox World HQ." Sort of a joke and he's like, "Oh, great. Yeah, what's the address? We'll be there." And I'm looking around our apartment, it's like corporate housing, we haven't even unpacked our stuff because we had only moved to California a few days before, so we're cleaning up.

And I remember the morning of, I'm like, "Oh shit, we don't have any drinks or anything." So I had run down to the Columbus Cafe, bought a bunch of Odwallas and we pitched Mike in our living room. And another one of our gimmicks was we would take photos on our phones and then the photos would save to Dropbox, and so we have this great photo of Mike and Pejman just sitting on our couch where we would play Xbox and Rock band later.

And so Saturday we talked to Mike, had a pretty good poker face, just asked a little bit about competition, but otherwise didn't say much. Pitched the partnership at Sequoia on the Monday and that night had a handshake deal for a million dollar seed round. So one business day turnaround, which was nuts and then a week later or a couple days later... The kinds of things you have to deal with here they're like, "Okay, great. Congrats. This is awesome. Send us your wiring instructions." And we're like, "What?"

Jessica: To the Cambridge Bank, right?

Drew: We set up a business account literally in the mall, the CambridgeSide Galleria in the Bank of America there. And so we're like, "Oh God, I don't even know... Does this have wiring capabilities?" So Arash and I walk to the North Beach branch of Bank of America, and the way these things are laid out, there's the tellers and then there's the leather seat people, and we're like, I think this is a leather seat thing. So we grab a seat, I hand her my corporate debit card, she's pulling up the account, she probably sees it has \$60 in it.

And I'm like, "Is there a limit on how much this bank account can hold?" And she's like, "What do you mean?" "No." And I'm like, "Can it hold a million dollars?" She's like, "I guess." And I am like, "Can you help us with all the wirings?" We're disheveled, hoodies and shorts and flip-flops so God only knows what she thought it was, but we got the numbers we needed. And then sure enough, I'm hitting refresh like Christmas on our Bank of America account, watching it go from \$60 to \$1.2 million and \$60.

Jessica: That was just the wildest story. And to have Moritz sitting in your unfurnished apartment on a Saturday morning and Monday hit up the partnership and the money wired the next day. I mean, it's insane.

Carolynn: That's a great story. She probably hit that button under her desk that calls security, they were probably hovering.

Drew: Totally.

Jessica: Now, you don't have to name names, but please will you tell my favorite story about the VC in Boston? You can just say the VC in Boston who you had known. Are you thinking about what the story is?

Drew: Sure. Yeah.

Jessica: Okay.

Drew: I think there were a couple of East coast VCs. I mean, there's one in particular that after we got... Or I had been talking to him the whole time-

Jessica: That's the story, he had known you, he had a relationship with you. And let me just set the table, because Carolynn doesn't know this. We invited him because Drew knew him and was like, "Will you invite him to demo day?" To the demo day in Cambridge and he came, and I was saying goodbye to him and he is like, "Oh, thanks. That was really cute." He called the event cute. Yeah, so tell the story now.

Drew: Oh, man. Yeah. So I had been working as an engineer at this company called Bit9, doing a lot of kind of application whitelisting and security stuff, which actually had a lot in common with the kinds of problems that we saw with Dropbox. But anyway, so he was one of the venture investors, the partners. He was actually really kind and I got to know him because I was an engineer and I knew the founders of that company who the founders ended up investing and doing well. But I talked to him about Dropbox from the napkin stage through Y Combinator, and I guess he came to demo day, but didn't actually engage. Then we go out to California, we get a term sheet from Sequoia, and he comes back he's like, "We'll give you a totally uncapped note." And I'm like, "It's a little late, dude."

Carolynn: Yeah, typical.

Jessica: Didn't he fax you a term sheet with empty numbers?

Drew: Maybe it was, yeah.

Jessica: That was my recollection.

Drew: Yeah, it was crazy.

Jessica: Is this really sad that I remember this story better than you do?

Drew: Yeah.

Jessica: Because I just felt like this was the most insane story. I believe he faxed you a term sheet with blank spaces for the valuation-

Carolynn: Numbers?

Jessica: ... and stuff said, fill it out.

Drew: Yep. Yep.

Carolynn: That's desperation time right there.

Drew: Totally.

Jessica: It's crazy. But he could have invested before anyone else, it just goes to show what a crazy-

Drew: It's rough. I mean, I don't blame some of the early investors too much, or prospective investors because... Well, I feel bad for something like that because he saw the awkward adolescence, most of the demo day investors saw a very kind of airtight... He should have still invested, obviously. And a lot of the things that people pointed out is competitive problems I'm like, yeah, I agree with you. Yeah, we probably will get killed by Microsoft, or Google, or Yahoo, these companies back then. Yeah, we're probably going to die and then we'll do something else. So I don't really blame people for having that kind of perspective because it was so early and so raw back then.

Carolynn: That's a generous perspective.

Jessica: Good work Pejman for seeing what a great company it was and what great founders you were, and really helping you guys with the introduction. I mean, that's also such an amazing, fabulous side of the story.

Drew: Yeah.

Jessica: Okay. So you're now out in California, you've moved into the Y Scraper, you are in the zone there. So it was the Justin.tv guys, Xobni, and Reddit?

Drew: Got Scribd, Weebly, Reddit. Yep, all those guys.

Jessica: What was it like? Did you get a lot of work done there or was that your social scene or what?

Drew: All of the above. What was great, the reason that became such a popular landing site for these founders was because it was month-to-month corporate housing fully furnished. So you were kind of kitted out enough, and it was very compatible lifestyle-wise with people who had just graduated from college. And then it was sort of going from a college dorm to a startup dorm, so the lifestyle is very similar.

And the first thing we would do after landing was rent a car, go to Ikea, get cheap furniture, set up our computers, and that was the pilgrimage we made with every new employee. It's like, all right, welcome to Dropbox. Aston, our first employees, we have this ritual around order all your computer parts-

Jessica: Oh, Aston Motes?

Drew: Yeah, Aston Motes.

Jessica: Oh yeah. Okay. So you took him to Ikea?

Drew: Yeah. We're like, first ship all your computer parts to Dropbox HQ or our little apartment, and then pick him up from the airport, go to Ikea, get the same table and cheap chair and everything. And first task is build your computer and that was the extent of on-boarding at Dropbox.

Carolynn: I was just going to ask, you had \$1.2 million in the bank, did you hire right away with that money? What were your plans?

Drew: Yeah.

Carolynn: How many people did you hire?

Drew: We probably got up to around 10 people, eight or nine people on that first seed round.

Carolynn: But you couldn't keep them all in the Y Scraper, did you have to go get a new office?

Drew: We did have to get a new office. We certainly tried to, we put six people in a two-bedroom apartment and flipping up a sofa. I mean, I was going through some of those pictures, we put one of the sofas up vertically so we could make room for another desk and it was squalor. So yes, for many reasons we had to get a new office. So we got some random office space above the Walgreens on Kearney Street and eventually moved in there. And that took us from September, 2007 when Sequoia first did the seed round through our public launch and our Series A, a year later.

Jessica: Oh, nice.

Carolynn: Okay.

Jessica: It was a crowded space, everyone was complaining, "Oh, we don't want to fund you, you're too crowded or you're going to get squashed by Google." Why did Dropbox work? Because that was the beauty of Dropbox, it actually worked. It was this elegant, wonderful, simple solution that worked. Was it because you and Arash were great programmers? Or was there something that you guys did that other people didn't see?

Drew: I think it was a little of both. And I think every startup needs some measure of luck, so I think there's luck in that none of the bigger companies built good versions of this earlier. But there were a lot of things that were... The timing was right, and then the engineering execution and some other things ended up being really critical. So I think what made it hard was you had to get some things right across some pretty different disciplines.

So one problem is that it's correctness, so most people's experience with sync is that it doesn't work and it breaks all your things. Forget files, but even your PalmPilot back in the day, you'd always have problems with sync. And the reason you have problems with sync is because it's actually a mathematically pretty tricky problem, and there's a whole correctness and algorithmic piece of it, which you just can't get wrong. And I love that stuff, so those are my favorite classes at MIT, like algorithms, distributed systems, and that's more of a mathy abstract thing.

Then there's a whole grungy different systems engineering, which is more getting into the guts of an operating system and basically cloud enabling Windows and Mac without the source code. And one of the problems with the other apps is you have no visual feedback when you change something. And so you didn't know if it was working and we're like, well, you should put little green checkboxes if it's up-to-date, and a little blue syncing icon if it's being updated or not saved yet. So just that visual feedback seemed like a really important piece of the UI, but there was no mechanism to do that on Mac, for example. So we ended up having to basically use all these malware techniques to hack up the Finder and draw icons whenever Windows refreshed. And I learned that kind of thing from the security company I had worked at.

Jessica: Yeah.

Drew: So there's the science and the engineering, and then there's design because you have to have some restraint in what the UI of this thing should be. And so for example, actually a lot of the early customers who wanted Windows file synchronization software were pretty bad because they actually wanted all the knobs and dials and like, oh, it should do backups at 5:00 AM and it should cover these nine folders. But you look at the interfaces for the UIs of these things were just like a car crash of all these complicated settings. And so we had to really have restraints to be like, no, it's going to be one folder and we're going to really get the design and ease of use right.

And part of where that came from was in addition to being the six-year-old who was playing games and trying to write games, I was also the kid that was called in by neighbors to fix their computer. And I'm still the IT guy at Dropbox often.

Jessica: Oh my God, I love this.

Drew: So you get kind of an appreciation or a much more visceral sense of what is easy and what is hard on a computer and so I think that empathy was really important. And then, I mean, random stuff, I made T-shirts in Photoshop for my fraternity when I was in college. I made fake IDs.

Carolynn: No way. Who made fake IDs?

Drew: Didn't make any money.

Carolynn: A lucrative business.

Drew: I'm like the statute of limitation is up, I didn't make any money. I didn't sell them.

Carolynn: Wait, why not?

Jessica: You didn't sell, you gave them to people?

Carolynn: What?

Drew: I sold them at cost of materials...

Carolynn: Do you want to know what they go for these days, Drew? I happen to know this.

Drew: I don't know.

Carolynn: No, I know, I know.

Drew: So yeah, what does that run?

Carolynn: They're from China and they're about 200 bucks, just FYI.

Jessica: That's cheap. I thought you were going to say-

Drew: So that's like inflation. Yeah, it's probably \$100, \$200, or something.

Carolynn: We're talking about teenagers here, you can't charge too much. So someone figured out that's the sweet spot, teenagers can scrape together 200 bucks.

Jessica: Wow, true.

Drew: Yeah. So yeah, there's a thread here. It's like reverse engineer, I would borrow literally my mom's driver's license and photograph it. And then they had some templates online in shady corners of the internet, but the templates weren't good enough. And I'm like, no, the blue is off here and no, you need to have... So I had holograms, if you want to be an organ donor, no problem.

Carolynn: That's hilarious.

Jessica: Geez, Drew, I'm dying.

Drew: So reverse engineering is definitely a thread that goes through all these.

Jessica: Were they Massachusetts IDs?

Drew: Massachusetts, yeah. Which is also dumb, it would've been good to do Hawaii or New Jersey or something where there's less stringent.

Jessica: Wow, I'm learning a lot about you. This is so interesting.

Drew: So there was a design, all that is to say there was a design element here, sweating the details on the visual design that ended up being really important. But it's sort of these very different strands of my previous experience all coming together-

Jessica: All coming together magically.

Drew: ... and ending up being important.

Carolynn: Well, I'm just thinking if Drew lived next door to me so he could come troubleshoot my obvious Wi-Fi problem. But also I wanted to say, Drew, your YC application actually does in the competitor section, you point out some of the difficulties that your competitors or potential competitors were going to have and they seem pretty spot-on. Back in 2007, you were kind of like, oh, this is too heavyweight, they're not good at the web integration. You kind of knew, in other words, I'm not surprised people were like, "Oh yeah, this guy's got it right," because you figured out what the other people were doing wrong. So pretty impressive.

Jessica: Yeah.

Drew: Yeah.

Jessica: I've been one of your earliest users and it's fabulous.

Carolynn: Oh, it's the best. It's the best.

Jessica: It's growing, you guys are doing well. I want to ask you about, I think it was 2010 when Steve Jobs was up on stage and he called it "a feature, not a product" was that crushing? How did you feel?

Drew: So there are a couple of different things. One is we got summoned to meet Steve in 2009, and then they launched iCloud in 2011 where they called Dropbox out as sort of this archaic thing in the launch of iCloud, so both of those were stressful. The meeting with Steve happened because, well Apple, people on the MobileMe team, which was sort of the precursor to iCloud, they were confused as to how we had this UI of these checkboxes on these files. And we were sort of kicked around between sort of an

engineering team and their M&A, like their corp dev team and after a couple rounds of that I ended up getting invited to meet Steve.

Jessica: Was he a childhood hero of yours?

Drew: Yes and no. So I had grown up kind of on the PC and Windows side of the tracks, and I thought Mac people were kind of annoying at the time. But then the iPhone had launched and the MacBook Air, and I'm like, okay, I see what people are excited about.

Jessica: Okay.

Drew: So yes, I think he's the best to ever play the game. So it was intimidating for sure. I had a bunch of other friends who had had different Steve experiences and they were very in one of two buckets, either he was totally charming or totally an asshole and you didn't know what you were going to get. And fortunately we roll up to 1 Infinite Loop, I'm like, "Oh, the address is already in my iPhone. That's convenient. Okay." Just little things, you go in the main entryway and the receptionist there, you're like, "I'm here to see Steve Job." She's like, "Have a seat." And then Arash and I are like, "Oh shit, I don't know if our demo is ready." We had this whole demo ritual where you have to have all the fake accounts and all this, so we're setting all that up.

But anyway, so we go meet Steve in the boardroom and initially he was very charming. He was like, oh, you guys have built a great... I'm like, "Do you want to see a demo?" He is like, "No, I've seen it. He started by saying, "You've built a great product." And so actually under the table on my bucket list, I'm like, Steve Jobs said we built a great product, check, okay. Good, I'm good.

Jessica: I'm out. I'm done.

Drew: Our work here is done. And yeah, actually the formal part of the meeting was pretty short. He was like, you should throw in an apple or a startup with a lot of resources. And so we're going through his pitch and I was thinking, we're not looking to sell. So this is a tricky needle to thread on how to approach a meeting like this because we mainly just didn't want him off and we also didn't want to get him super excited. We basically didn't want him to do nothing, have no follow-up. Like, leave a good impression, but not too good and don't antagonize him.

So he's like, "You should throw in with us, you should join Apple." And I'm like, "I would love to work with you, I'm a huge admirer of everything you've built. I'd love to work with Apple in any capacity. There's a lot of ways we could do that. But Arash and I feel like we're really having a great time building this Dropbox as an independent company, I'm sure you understand." And then he started getting more prickly he's like, "All right, you guys are a feature, you're not a product. You don't own distribution. You have to partner. You don't control the operating systems." And I was like, "Yeah, but then Android doesn't control the Mac, the macOS, or Google." Every pair of companies has an incompatibility so that's actually why you need this common layer of something like Dropbox in the first place.

And he was right, getting distribution ended up being very important and we had an unorthodox way of doing that too. But there was an open question for me, should Dropbox just be like pre-installed on every computer, like antivirus or we have to figure something else out. And so he was right in that if we had to go through partners, it would be pretty difficult to get distribution because we didn't have any leverage.

So anyway, we were sort of haggling over these points, but eventually, agreed to disagree, like don't piss him off. Okay. And then the formal meeting, part of the meeting was over in 10, 15 minutes, but then he hung around for the rest of the hour just being like, "Oh, where are you guys from?" And I asked him about coming back to Apple and why he did that. And he was like, yeah, I couldn't understand, this is in the '97, these were days where they were six weeks from running out of cash or whatever. He's like, "Yeah, I couldn't figure how this company could have its customers paying it like \$7 billion a year in revenue and still manages to lose a billion dollars a year." And then a lot of the other stuff that he said about that time that's been reported on pretty broadly. But it was a very cool experience except for the part where he is like, "Yeah, we're going to have to build our own thing and kill you." There are a few things like that.

Carolynn: Is there a dollar amount he could have mentioned where you would've second guessed your decision to do this by yourself?

Drew: Not really. Not because I didn't care about financial pieces, but more like my view is that, well, one, I didn't even think about that question, I didn't want to get tempted by it so I'm just like, I'm just going to not-

Carolynn: Ask.

Drew: ... go there. And then secondly, when your company's kind of up and to the right, the way we were and 10 Xing every year I'm like, Apple's not going anywhere, whatever that X dollars is today, it'll probably go up tomorrow unless something completely unforeseen happens. And maybe that's wrong, but we're willing to take that risk.

Carolynn: I bet that was a weird experience for Steve Jobs, having somebody just be like, "Eh, no thanks." He must've been pretty frustrated.

Drew: Yeah, it's hard to know exactly what... That was the only time I met him, so I didn't really get a debrief afterwards.

Jessica: This is jogging my memory, didn't he throw a pen at you?

Drew: He did not. No, fortunately there was no violence.

Jessica: Oh, okay.

Drew: Yeah, but I had heard stories like that from other people. Not with us, he was very respectful other than sort of saying, we're strategically f'd.

Jessica: Yeah, yeah, okay. Well, all right I'm going to have to-

Drew: He was fine.

Jessica: I'm going to have to figure out who... Well, I know that he threw a pen in frustration. To me, it was very funny that he got agitated.

Drew: I mean, he would have-

Jessica: Funny that he got agitated.

Drew: He would have withering criticisms of others... I had heard stories from another friend of mine that he spent some time working at Microsoft and was pitching his thing to Steve, and Steve's like, "Yeah, this looks like a product a Microsoft guy would design." And just crushed him.

Jessica: Wow.

Drew: He wasn't always on his best behavior with these meetings, so I don't know if we just got him on a good day or what.

Jessica: So that's good then when he said that Dropbox was a feature not a product up on stage at this launch, you weren't crushed because he had already told you that in private a year earlier?

Drew: Yeah.

Jessica: That answers my question then.

Drew: But it was a much bigger peanut gallery of people of him saying, this idea of storing your files on your hard drive or in Dropbox is an anachronism. Everything's just going to be in the cloud. It's going to be in iCloud. So he was pretty explicit that we were going to be obsolete. And then you can imagine the impact that had on the company. We're all watching that keynote and everybody's looking at me being like, "All right, Drew, now what?" And so definitely, that was one of several of these competitive moments where we're like, "Okay. Yeah, eventually Google Drive did come out and iCloud came out and OneDrive came out." And that demarcated a new period for the company.

Jessica: So this new period had some real struggles in it. Can you tell us about some of them?

Drew: So the first several years of Dropbox were that hyper growth, fever dream, dot com thing, that experience every founder hopes to have. It was still stressful, sort of like you're an amateur surfer and then suddenly you're on a 100-foot tall wave. There's no style points, you're just trying to hold on. But at some point that smooths out, or that big wave, and then you got to start paddling. And competition was what kicked off that second period of the company, which was a lot more challenging, but not in the way that I was expecting. So iCloud launches, Google Drive launches, Microsoft launches their

thing, lots of others, but you would look at our analytics and not be able to tell when that happened. And the press usually writes about competition like it's a shotgun blast, like, "Oh, okay, Google Drive launches, Dropbox is dead." And that wasn't our experience per se.

It was more like, it creates a lot of noise, but looking at past examples of startups competing with incumbents, looking at something like Netscape, and Netscape didn't really get killed by Internet Explorer 1.0, but Internet Explorer 3.0, 4.0, 5.0, they just keep coming at you. So competition is more like a boa constrictor than a shotgun blast, meaning they just keep coming. And our version of that, even though we couldn't see in the numbers, we could start seeing signs. Ranging from, for most of our history, the fact that Dropbox is so general was a feature, not a bug, because it had this universal appeal. And this actually created some problems because we're like, "Well, what's Dropbox for?" It's like, "Well, what's a phone for? Or what's a computer for?" And so it created some issues with how do we describe what it does?

And I'd often go, "Do you carry a thumb drive?" as the question that actually made sense to people. Like, "You don't have to do that anymore." But what it also meant was people are using Dropbox for a lot of different use cases that were each their own different market. And so what that meant was we were increasingly fighting this many front wars against much better funded competitors and fighting with everyone. So on the basic cloud storage side, we were competing with the phone to back up your phone. We were competing with the operating system. We were competing with a device in ways where we were never going to have a home field advantage. So there's no world where Apple's going to be like, "Hey, install Dropbox with your new iPhone." They're going to promote iCloud. And that was Internet Explorer, it was bundled with Windows, it was made the default. So I was very familiar with that dynamic, and I'm like, "That's not a good fault line to be building our house on."

Then a lot of people are using Dropbox for photo sharing. These were photos and effectively photo albums that were in the form of files and folders. That had a couple issues. First, that was a whole different set of competitors. That was Facebook, Snap, Google, Apple. And then by the way, our UI of 1,000 folders was not the right metaphor for photo sharing and especially on mobile. And then people were doing a lot of productivity in Dropbox. And for them it was more like Dropbox was this virtual workspace or office where you could actually work from anywhere and be this digital nomad, and Dropbox for a lot of people facilitated that because you could use any device, any platform, anywhere, anytime.

And so that was a whole other set of engagement and usage, but it was pretty clear that all of them were going to be under siege. And then there were other examples of companies that got picked apart despite getting an early lead, which I thought were cautionary tales. So take something like Craigslist. Craigslist used to be very horizontal. You could rent an apartment, you could get a job, you could do all kinds of ungodly things on Craigslist, but the most valuable parts of that got picked off by more... Airbnb took a lot of the short-term rental piece away, and then Upwork took a lot of other things. Craigslist still exists. It's actually a surprisingly profitable company, but that was

not our aspiration. So we were both trying to spread our wings as a company and do more stuff while also dealing with some of these strategic issues.

So we built a new photo sharing app called Carousel. We bought a mobile email app called Mailbox to diversify. And that was great until about a year after that, Google Photos launches and gives everybody free unlimited video storage for life. And that was my rude personal introduction to the incumbent playbook, which is, they'll copy your product, they'll clone it, they'll bundle it with their platforms and they'll give it away for free, either for free with their bundles or just give it for free period. And Google just gave away this for free period. And they're just torching billions of... Google can buy hard drives cheaply. So can we. They may be a little bit cheaper than us, but not much. And I'm like, "These guys are just torching billions of dollars without even a theory of how this will come back around."

And then it was also more personal for me because I'm like, "This was easy to foresee. This would've been the obvious next move for them. How did I get us into this really precarious situation?" So with the photo sharing or similar things for the storage or a lot of these different fronts, I'm like, "We're just not going to win the wars on most of these fronts." And there was already some skepticism starting to build in the industry about, "Ah, it's Dropbox." At some point people write enough nice things about the company where they get tired of that and they want to write how actually this thing is a house of cards. So that was a little-

Jessica: I'm familiar with that, Y Combinator.

Drew: And then internally, there was a lot of angst about this. And so Google Photos launches, I'm like, "This is bad." I go off and I need to think, and I reread *Only the Paranoid Survive* by Andy Grove. And it turns out Intel went through something like this too. And this is what his book is about. It's about these strategic inflection points and how to deal with them. So in their case, we know Intel as the microprocessor Intel Inside company, but they actually started as a memory company. They would make the RAM that goes in your computer, but over time they found that they were competing with Japanese companies that were over time just better, faster, cheaper, just outgunning them on every dimension. And so the book goes through, Andy, who is one of the founders and became CEO, and then Gordon Moore, one of the other founders, they're discussing this and they're like, "All right, if we were consulted to ourselves, what would we do with this situation?" And they're like, "Obviously we'd get out of the memory business and we'd go all in on microprocessors."

And that sounds very tidy and sensible, but in practice it's like Google saying, "Hey, we're going to get out of search," and go on Gmail or something. Just ridiculous. So easier said than done. And the book talks about how CEOs usually want to keep all their options open and hedge, but what you really want to do is just go all in on one thing. And so I took that pretty seriously and literally and came back from 4th of July and just like, "We're killing Carousel. We're going to kill Mailbox. We're going to kill everything that isn't productive." Which in one sense was not that difficult of a decision because most of our subscribers at the time were using Dropbox for work, 80% were using Dropbox for

work. It was a work use case. But then I wish I could say that, "Oh, then we lived happily ever after." But that actually completely sent the company into a tailspin from a narrative standpoint-

Jessica: Oh, gosh.

Drew: People are like, "Dropbox is going from being the next Google to roadkill by Google, Amazon, Microsoft, Apple, everybody." First Dead Decacorn, lots of these kinds of articles started cropping up, which then the main effect of that, which threw the talent flywheel, which was flying in our direction, throwing it into reverse. It became extremely hard to recruit the next levels of execs and especially product execs that we needed and set off a super difficult period. So that was the beginning. The opening salvo of that Google thing was like, "All right, well, then we're going to shut down a lot of stuff." But then people were like, "All right, well what are we going to do?" And I was like, "If I had a great answer to that, we'd be doing it." So it was pretty awkward. That began the second chapter of the company, which is a lot more difficult.

Jessica: So here's a question and you can tell me if this relates to the second chapter. So I was listening to you talk about the Enneagram test. You will not believe this, but after I listened, I took the test, Drew, myself.

Drew: Nice. What are you?

Jessica: I'm a seven.

Drew: Oh, great. Awesome.

Jessica: Isn't that what you are?

Carolynn: Wait, tell me about this test? What's the test?

Drew: Yeah.

Jessica: I just did it yesterday. I haven't read the whole report. Tell Carolynn what it was.

Drew: Okay, should I explain?

Jessica: I couldn't read the report because I'm so conflict avoidant that I couldn't even bear to be told that I'm conflict avoidant. Tell Carolynn what this is.

Drew: So the Enneagram is a personality typing system, kind of like Myers-Briggs, but I think a lot more useful and easier to understand. One of the challenging things about scaling a company is, as CEO, your company's personality or quirks are going to be inherited from the founder's quirks and blind spots. And so your company will inherit whatever dysfunction you have as a person, and most of the time you won't even know about it. And so every founder's job is to figure out what personality quirk or defect is going to torpedo your company and do something about it. There's a lot of ways you should do

that, but one of the ways is just through better self-awareness and through tools like personality typing. And our favorite is the Enneagram.

And basically it's similar in that you get a number one through nine. So Jessica and I are sevens. There's nine of them. So there's a peacemaker is a nine, and a reformer is a one, and a helper is a two, an achiever is a three. And so it doesn't mean that there's only nine dots of people, but there's sort of nine area codes of personalities where you're sort of all in the same zone. And that ends up being really helpful because one of the things that's great about the Enneagram versus Myers-Briggs is the theory is more around what fundamentally motivates you? What are you running towards and what are you running away from? Whereas I find that Myers-Briggs is more descriptive. It's like, "Okay, you're an introvert, you're an extrovert." Great, what does that actually mean? Whereas with the Enneagram, the theory of sevens is that these types originate from a mix of your genetics and your early childhood, and they're about your strategy to cope with the world.

The seven personality types, the strengths are very creative, synthesizing across lots of different things. They tend to be inspirational and really build good relationships with people. But then the development areas are often the other side of the same coin, which are, you're really creative and like new ideas, but then you're really bored by routine and scattered. Or, you really like building good relationships with people, then you're very conflict avoidant, you don't tell people things they don't want to hear. And you're really resilient and comfortable in chaos, but then you create a very chaotic environment for your team, and you don't really recognize that not everybody likes that.

So it gives you a good default map of here are the natural strengths that follow from this, and here are the weaknesses, and so you want to double down on the things that are strengths and then offset the things that are weaknesses. So in my case, it would've been things like I need to figure out a minimum system of organization. I need to recognize that I probably shouldn't be asking the company to do 10 different things... A photo sharing app and email app, all this stuff. These things have some roots in my personal psychology, and you just have to figure out how to deal with that.

Jessica: It really tugged at my heart string. You said, "I needed to make sure that my company is not so exposed to my personal dysfunction." Did you have to do a lot of work on yourself?

Drew: I had to do a ton of that. Yeah, a lot of personal development. There were a couple of things that were difficult about that period. One is just strategic, so we talked about the calculus of what are all these competitors going to do? How do we survive? I read this great book called *Playing to Win* by Roger Martin and A.G. Lafley. So A.G. Lafley was CEO of Procter & Gamble. And actually the impetus for this was I kept hearing people saying, "Storage is a commodity, storage is a commodity," and yet our business just kept growing and our prices would go up over time, not down. I'm like, "This doesn't really seem like a commodity in that sense." But I'm like, "All right, well, try selling paper towels, which is what Procter & Gamble does, and how do they deal with that?"

And they have this very lucid framework where you have to choose your market and your customer where you play, and then how you win with your differentiation and stuff. So there's a lot of academic stuff that helps to learn these frameworks. But I think the hard part of running a company for a long time, especially when it's difficult, is also dealing with your blind spots. How are you inadvertently torpedoing the company? And it's not personal. Everybody has some level of issue that they need to work through. So the presence of that isn't necessarily bad, but you do have to deal with it.

And then the other is just how do you metabolize a lot of the stress and just the challenge of this over a long period of time? And then also even just something more basic, which is what does Dropbox need to be in the world? Maybe we did it. Because people don't really need to carry around a thumb drive. We have a bajillion users. I'm picking my teeth up off the ground in Hawaii after the Google Photos stuff. I'm like, "Well, at least I'm in Hawaii." My 18-year-old self would be like, "Why are you so pissed off? You did it, dude, you're good." But I had to reconnect to a sense of purpose and motivation, which is kind of pre-wired for you at the YC stage. It's sort of like school. You go to middle school, then high school, then get into a good college. Then for me, it was literally after that, "All right, then get into Y Combinator, get Sequoia funding, then do your Series A B, C." And this very linear prescribed path.

But at some point, one of the hard things for me to deal with was like, "Okay, actually the competition is getting a lot harder." It's quite embarrassing. I ran an irrelevant company in obscurity that struggled, which was difficult enough, but it's a lot worse to run a company that was succeeding and then you screwed it up. It was 1,000 people, employees that are depending on you and millions of customers, and a lot of press that's tearing you down. How do you deal with that? So I think things like the Enneagram helped give you a bit of a map to figure out what motivates me? What am I running away from? What do I do about it?

Jessica: You went public in 2018, so what was the most important thing that you did to right the ship, if you will?

Drew: I think it's one of these where it's, I think it's a Churchill quote or something, "If going through hell, keep going." So it was a number of things. First, was just cleaning up the strategic story. So stop fighting these wars, which we can never win. There's a very obvious financial piece of this where we had to gear shift from land grab mode, growth at all costs, spending at all costs to a more reasonable financial picture. So we were hemorrhaging hundreds of millions of dollars a year on all this free storage or just on these unprofitable segments. So fortunately for us, most of it was pretty tactical, like, "All right, just turn off the dumb faucets and just stop blowing money on that stuff." And some change management. But it was okay.

But a lot of it, the harder part was more like, "Hey, your company needs to grow up." As, if you're playing in a sport, as you go from T-ball to high school, to college, to the pros, to the playoffs, in each phase, you have to keep leveling up. And your reward is just a harder and harder opponent. And there's a lot you need to deal with. So first, you have

to, as I was saying before, I think you have to train yourself or educate yourself on how to play the game better and understand what new game you're playing.

And so as we're fighting with Google and Microsoft and Apple, I'm like, "On the one hand, this is really rough. It's like playing chess with opponents that have eight queens in back, so it's not that fun of a game." But then I think there's a lot of mindset stuff that comes in here where you can either feel victimized by that and burdened by it, or you can be like, "Well, yeah." Instead of, "I'm getting screwed," I think a much healthier approach is to be like, "I get to do this. I get to get screwed. This is what I dreamt of."

Jessica: God.

Drew: And I think Ben Horowitz says the hardest thing about being CEO is managing your own psychology. And I think there's a lot to that. Even from when I was young, I wanted something, a career that I have a high learning curve. I wanted to be building things that have a big impact. I wanted to be playing at the highest level, but I had to reconnect, and I did feel pissed off and resentful and like, "Oh, this sucks and this is rigged," and whatever. But I had to get out of that in a couple ways. First is, what do I want to do with my life and career? And then equally importantly, what should Dropbox do with its life? And hopefully these things intersect, but maybe not. So as part of getting my head right and things like that, a lot of it is learning from history and other stories to feel like, "Okay, it's not that personal. This kind of stuff happens in tech and in business all the time." So a sense of equanimity about that, like, "Yeah, this is just in the game."

Second, I decided that I really do want to become a great CEO, and it's a much harder game than I thought. But good news is, that's something that takes a lifetime and beyond to master. So I was like, "Okay, this will keep me busy and occupied, and I'm going to do this more for the love of the game than for money or for other motivations," that was very salient for most of the time. And then what should Dropbox be? It might be okay if it's just like, "Yeah, we did it. We sync the files. You're good. No thumb drives. Now I should go up and move on." There's a lot of stuff I could be doing. And there's this tech bro ascendancy that you go through, like, "Oh, I'm going to go into space, I'm going to do flying cars, I'm going to do climate. I'm going to do cancer." So I was like, "Should I just do that?" But that reconnecting to purpose at the beginning of that hard time was really important for me personally. Because, I'm like, "All right."

Or I'm choosing this life so I can't complain about it. I get to do this. This is some level of gratitude and there's a lot of mindfulness stuff that helps frame these kinds of things for you. So a meditation practice, some coaching was helpful to me in getting untwisted around the axle of frustration. And then I was like, "All right, well what problems really need solving in the world?" It's hard to argue that no one would've figured out that your iPhone should be backed up to the cloud or that you should have a photo gallery that has your whole life. Maybe we're the first to commercialize some of these things, but we could probably do something better than just invent an obvious thing 10 minutes before Google does.

And I'm like, "Where are the problems really not solving themselves?" And I felt like in productivity, that was actually, there's this whole other set of issues. So specifically during this period, it wasn't just the external competitive difficulties, it was also internal experience running the company that was really rough. I'm like, "God, I went from coding for the rush in a little apartment to now I have this 1,000-person team." And I'm like, "This subjectively is not that fun." I am just in meetings all day, email all night, sleep, repeat. I'm like, "Is this it?"

Jessica: Manager mode.

Drew: Yeah. And I'm not doing anything creative, but I'm just busy and overwhelmed all the time. And I'm like, "What's going on?" Work had just become this treadmill. And I felt a little sorry for myself about that for a while. But I'm like, "All right, but wait a minute. Everybody else is on this same treadmill too." And it's really weird that I'm like, "Why is my brain stuck in first gear?" And I interviewed a guy who worked-

Drew: And I interviewed a guy who worked at SpaceX. He was a director of engineering at SpaceX. And I was like, "Oh, that's so cool. You guys are actually going to Mars. How's that work? How does the company work? How do you guys work together?" And he's like, "What do you mean?" I'm like, "I don't know, how do you collaborate? What tools do you use? What's it like at SpaceX? What's it going to take to put someone on Mars?" And his answer was basically a lot of emails and a lot of files. And a switch flipped for me. I'm like, "Oh, wait."

Yeah, usually we think about technology as this amplifier, but it's also the limiting factor from another perspective. We can only go as fast as our tools will let us. And there was this new round of productivity tools, things like Slack and others, where the tools could flip from helping us do the work to becoming the work. When I visited my dad at his job when I was a kid, a lot of things were the same. You'd go into his office, he had a PC, he had a phone. But a lot of things were different. He could close a door. He got five emails a day and not 500. He could turn off his phone. And when he would come home from work, he would literally put a briefcase down and not think about work till the next day. And I'm like, "Wow, that is just not our setup here."

And you can see for him, each new tool like, oh, a Google search saved, I don't know, making a phone call or going to a library or something. But at some point, as you go from 10 tools to a hundred tools to a thousand tools, things break, much as they did for TV as we went from 10 channels to a hundred channels to a thousand channels. Comcast was just like, "What? We're just giving people what they want." But as you're trying to sift through all that, and I just want to watch the Super Bowl, you're like, "Wait, this broke somewhere." And what we needed was not another thousand channels, what we needed was a rethink of the system, and we actually needed Netflix, which was rethought from a design perspective, but then also used machine learning and other things to curate that experience for you.

And I felt like we were in the Comcast era of productivity tools. We were just throwing more logs on the fire, more stuff, more messages, and then wondering why, yeah, these

tools are pinging us 24/7, interrupting us, overwhelming us, distracting us, is it really that much of a coincidence that we have this new epidemic of knowledge worker burnout in a world where modern work, 50% of the time is just spent on tasks that don't matter, and the other 50% is totally distracted and overwhelmed. I'm like, that seems like a problem.

Carolynn: Drew...

Drew: And why is no one fixing this?

Carolynn: ... Just for context, this period of self-reflection when you're thinking about all this and thinking about purpose, and was this before or after your company went public?

Drew: Before.

Carolynn: Okay, so this is all happening pre-2018.

Drew: Yeah.

Carolynn: Okay.

Drew: This is all that swirl in the competitive period. 15, 16, 17.

Carolynn: Yeah. Okay. Okay.

Jessica: So you focused on this, morale must've gone up and profitability, everything seemed to be working then?

Drew: Yeah, then we were able to grind forward and be like, "All right, well, let's stop doing the things that are just never going to work. Let's stop spending money dumb ways." So that at least got our head above water a little bit. And then fortunately, we talked earlier about all this work we had done to design Dropbox the product, but what ended up being equally pivotal and probably more important for this period was the stuff we did around distribution and growth. So back in 2007 when we started Dropbox, that was the period where social media and gaming were all taking off. And there was this whole playbook for consumer internet and how you scale that, funny enough, was actually transplanted from epidemiology. It turns out the way that the disease of COVID spreads and is not and things like that actually transplanted perfectly to how viral apps spread, like, "All right, how many people do you reach? What's the conversion rate on the people?"

Jessica: Oh, gosh. That's interesting.

Drew: All this stuff. So draw your own terrifying conclusions. So people had done this in a consumer context, but we actually took a lot of this playbook and ended up applying it to business software, which is a pretty big inversion from how most other companies had done this. So Dropbox was like the self-serve viral product. We tried a bunch of

other distribution mechanisms. We tried partnering, we tried conventional marketing, we tried buying AdWords, none of that stuff worked. What really worked were these viral mechanisms of if I share a folder with you, you become a Dropbox user, you go on and share, and it spreads that way. We had this referral program where we gamified giving people extra space where if I told you about Dropbox, you would get extra space, I would get extra space for this two-sided incentive. Those two things accounted for the majority of our signups. And there's zero cost and they're infinitely scalable.

So therefore, especially as we're wrapping our heads around the financials, like, "Oh, yeah, this is how we can spend half as much on sales and marketing as a traditional enterprise software company." We can totally invert this model that starts out top down sales via salespeople. You make a purchase, then you deploy the product. That's the conventional thing. We turned all those things upside down. So actually people adopt Dropbox in the company before they even pay for it. It's a bottoms up adoption. A top-down piece only comes later. And the products already working, it's not like an RFP or something, Dropbox is already the way the company's collaborating. So that ended up being really pivotal, the distribution and the monetization piece because then it meant we just kept scaling. And so we were able to hit a billion in revenue in 2017. And then a lot of sufficiency work and fiscal discipline and operational excellence, there had to be this cultural shift around professionalizing the company that then teed us up to go public in 2018.

Carolynn: Did you have trepidation about being a public company CEO?

Drew: So trepidation, yes, absolutely.

Carolynn: Okay.

Drew: And you hear horror stories about how you just can't focus on anything but the next quarter, and it's screwing those things up.

Carolynn: Yeah.

Jessica: Yeah.

Drew: And it's also a threshold where generally, the startup stories don't usually talk about life after IPO, it's like all the stuff that happens up to that. And I heard those things pretty consistently. I think there were a couple of things that were also informative. So most of the value appreciation happens when these companies are public, after they're public, not before. So if you think about it, Netflix is many hundreds or thousands of times more valuable today than when it was pre-IPO. Microsoft went public at a couple of hundred million dollars valuation. And actually some of the best inventions happen well after the IPO and not before. So things like Windows and the iPhone all happened when these companies were public. So I think the narrative of 'you're destined for irrelevance or stagnation' certainly doesn't have to be true.

Another piece is really important is control. So we had put in dual class shares for a bunch of reasons. Arash and I wanted to be the long-term stewards of the company, certainly while we were involved. So what you do is you basically take your existing capital structure shareholder base, you give everybody 10 votes stock, you give new people, new employees, new investors one vote stock after that, so you do this flip. But then anytime the stock changes hands, it down converts. So you basically have this concentration of voting power with the founders if everybody else sells and you don't.

And so the reason that matters is because it's not just control for control's sake, it's actually, with public companies, a lot of the things that are really difficult is dealing with bad actors who are using your company as a chew toy for other ends or rating it. That was what I really wanted to avoid. But then also just to be able to maintain it, your company's going to have a lot of volatility whether you want it to or not. There's not really an up and to the right button. It doesn't mean all founders should always have control all the time. I think most of the founder led value creation happens when you power through those curves. And there's usually points in the company where the founder and everyone around them disagrees.

Jessica: Has that happened to you?

Drew: Oh, yeah.

Jessica: With your board?

Drew: Yeah, as a private company and public company. Not often, but it does happen. And in any hyper scaling company is going to have those moments where you have that kind of volatility. And this is a religious argument, should it be one share of one vote? Should it be dual class? Like pick your church, don't try to get into a religious war for whatever, but decide on the church. And then I do recommend for founders that you put in dual class if you want to go the distance and run the company indefinitely. Don't go removed against your will is certainly one big piece of... Your startup journey as a founder will end in probably one of three ways. You'll get fired, you'll burn out, which we started talking about, or you have some happy voluntary transition, either you sell the company or you...

Jessica: Or you just retire.

Carolynn: Or it's your life's work Drew, right?

Drew: Yeah. So that would be in the happy zone, you just go on as long as you want, and then you step off in a graceful way.

Jessica: But right now, you're feeling good, you're energetic and can handle the chaos that we sevens can operate in, but might not be best for the company. But you're doing well?

Drew: Yeah. Yeah. So it's funny, it's been 18 years since that first line of code on that bus. I never set out to be a long-term founder. In fact, when I initially started Dropbox and

things started taking off where we took Sequoia's money, I'm like, "This is really cool. This is really stressful. Maybe I'll just take this to, I don't know, a hundred million valuation, sell. And I don't know if this treadmill is just going to keep going faster and faster and faster, and so suddenly I'm violently not on it." That was what I thought might happen. But then over time, the learning curve does flatten out to some extent.

And so the company's not scaling so much faster than your ability to keep up with it. And then fortunately as founder and CEO, unless it's a completely different market, the company has a funny way of being interested in what you're interested in. And so the first version of that, what helped, in addition to going public and focusing on productivity and stuff, but the bigger picture thing I want to accomplish is helping people get back to being able to use their brains at work again.

And I think civilizationally, hopefully five years from now, we'll look back at this period and be like, "Yeah, this was nuts." The whole knowledge-work thing was predicated on hiring someone for their brain and sitting them down at a screen and letting that do its thing. And then we know from brain science that people do their best work when they're in a flow state or can focus and they're not being distracted, and they're well-rested, all these things. And we're like, "Yeah, yeah, yeah, yeah." And so you jump over the fence to what we actually do at work. If you wanted to design an environment that made it impossible to ever focus, ever get into a flow state, what is going on under this window? All these tabs, all this shit.

It's insane that it's so out of sync. And I'm like, "I want to solve that problem because that's the moonshot that all these other moonshots depend on is being able to get more return on our brain power as individuals, as companies, as a knowledge economy." That's a big problem. We're not going to solve that. But I'm like, "That will keep me busy." And everything that's happened with COVID, everything that's happened with generative AI, all these things are new colors to paint with. It's super important to ground yourself in addition to fixing your flaws or whatever, doing the Enneagram and getting coaching. I think you also want something that's pulling you, okay, there's a new mountain to climb and that you can also get everybody else excited about. There's a lot of continuity in what we're doing. I think in a lot of ways, what Dropbox is doing today is solving the 2025 version of some pretty similar problems.

And I've started by forgetting a thumb drive. But the real problem wasn't so much that, it was really just like, I can't find my stuff. I can't organize my stuff, I can't share my stuff. I can't keep myself safe. Back in the beginning, my stuff was my files, and they were scattered across these different devices. Now fast-forward, that's shifted a lot. And we still have files, but mostly we're in our browser and we've traded what used to be a hundred files on our desktops, now a hundred tabs in our browser. But still a lot of the basic issues, I can't find stuff, can't organize it, share it. And search is a great example. And it's an example of something we're working on with a new product. It's insane that at home, I have one search box, I can just Google something, but then I go to work and I've got 10 search boxes. I've got one for each app, I get another one every year.

But no one thought this is a good idea, it's just something that happened. It's like one of these problems hidden in plain sight. And I'm like, "This is nuts." And especially important if you're in a distributed or remote world, one of the first things you lose is context. And just getting people the most basic information they need to do their jobs is actually really important in any context. And so why is search broken at work? So we built a new product called Dropbox Dash that is designed to go after this. So it gives you one search box for everything. So you connect all your apps to it. And it's great, you can both do conventional search. So it'll search across your Google Docs and your Slack and your Dropbox stuff and anything else.

Jessica: I didn't know about this. When did Dropbox Dash launch?

Drew: So we launched it, the business version in October, about two months ago. And we're just starting to scale it up. So this is going to be the year of scaling Dash. You can also use, as you'd expect, natural language. So for all the questions that in addition to conventional search, like, "Find me this Google Doc or find me this Notion thing or whatever," you can also ask, "When does my lease expire, or where's that product deck from last year about this?"

Jessica: I need this in my life.

Drew: It's basically as if the Silicon Brain read all your stuff ever written in your company and was able to just give you the answer in natural language.

Jessica: Carolyn, let's get Y Combinator to get...

Drew: Actually, we should get you guys on this. Totally, a hundred percent.

Carolynn: Let's do this.

Drew: We will do this.

Carolynn: Even organize people. I don't know what number I am because I haven't taken this test, although I really want to, but I'm really organized, but then I forget my own organizational structure.

Drew: Yeah.

Carolynn: So it's not about being good at organizing, it's just really about trying to remember, especially if you have a long career at a place, you really, really need these kinds of tools. So that does sound really like a great thing to have built.

Drew: Yeah. Totally. And we're trying to tackle the whole problem because to your point, some people like organizing, some people don't. But at the end of the day, what you really want is to be organized. And wouldn't it be great if that were, maybe it's not completely autonomously done for you, but most of the heavy lifting. If all my papers on my virtual desk could Mary Poppins themselves in the files, why doesn't that work that way?

And again, it's one of these we're the frogs in the boiling water where this just happened over 20 years where we've had all this technological progress, but we have these regressions and these missing obvious things. So for example, we've talked about search being broken, but also just the idea of having your stuff where you left it. When you reboot your computer, your files are still there. When you wake up tomorrow, your physical papers are still on your desk. But in browser land, your workspace just resets itself every few days either because you declare tab bankruptcy and just nuke everything, or your operating system updates in a weird way and it gets closed. But it's insane that this idea of picking up where you left off is just not a thing in the modern world. And even just organizing things in any form, files have folders, songs have playlists for good reason.

You're like, "Okay, links have..." There's just no collection concept. So what do you do if you want to put a Google Doc and a 10 gig 4K video and an air table on one container? There's no mixed format container that handles that. What if you want to share these things? No way to do that. So again, problem's hidden in plain sight. A lot of the same genre of thing that we have a lot of experience with in Dropbox, and in many cases, same customer, same job to be done. But yeah, I didn't like emailing myself files. There's all these other paper cuts we're talking about.

Jessica: I still do that.

Carolynn: I do too.

Jessica: So it's called Drop Dash?

Drew: Dropbox Dash.

Jessica: Dropbox Dash?

Drew: Dropbox Dash.

Jessica: Carolynn, we're getting on this.

Carolynn: Okay.

Jessica: Y Combinator.

Drew: Or [Dropbox.com/dash](https://dropbox.com/dash).

Jessica: Okay. Awesome.

Drew: So yeah, we have this smart, and then we also make sharing really smart. So it's inspired by Spotify playlists. When you add a couple of songs, you don't have to search for every song one at a time, it starts making smart recommendations. And that's the way the whole consumer internet world works. It's like when you log into Netflix, it's not like, "Here's all the movies starting with A," it's like no, based on what the world is watching

and what you're watching, it's like a learning system that gets smarter. And then, yeah, Netflix works that way, Spotify works that way, YouTube works that way. Everything works that way. Then why do we go to work and nothing works that way? So fortunately what makes technology a good business is for every problem it solves, it creates one or two new ones. So that keeps us in business.

Carolynn: That's the truth.

Jessica: Keeps us in business. Well, this has been so much fun. Not only did we get to walk down memory lane, but I've also learned a bunch of new things. And I think our listeners are going to be fascinated. And your story, even outside of it, just its longevity, is inspiring at every step of the way at every chapter of Dropbox.

Carolynn: I can't wait to talk to you in another 18 years and see.

Drew: And still coding like an 18-year-old. Again, finding the things that give you joy that's still a big part of my equation for how to build stuff...

Jessica: Your son will be coding.

Drew: ... Prototype things for myself. He sure will.

Carolynn: Wait, how old is he now?

Drew: He's 15 months.

Carolynn: He's got what?

Drew: Charlie, my little guy.

Carolynn: Three and a half years before you're going to be like, "All right, kid."

Drew: Yeah, that's right. Yeah. The clock is running. He loves buttons. He loves scanning. He will mash any keyboard or mouse.

Jessica: Oh, boy, I think this is a sign.

Carolynn: Yeah.

Drew: Yeah.

Jessica: Thank you for all your time. I had so much fun catching up. It's going to be a great episode. And I can't wait to see you in person.

Drew: Likewise. Well, thank you, Jessica. Thanks Carolyn.

Carolynn: Thanks, Drew.

Jessica: All right, we'll see you soon.

Drew: Yeah, my pleasure.

Jessica: Okay.

Carolynn: Bye, Drew.

Jessica: Bye. Oh, that was so much fun catching up with Drew.

Carolynn: That was a good, long conversation. He had a ton of good stuff in there.

Jessica: I love when there's time to really dig into stuff. I learned so much about him that I didn't know.

Carolynn: I did too. Yeah. The thing that really stuck out to me is how serendipitous that meeting with the SpaceX guy was. And that's why I was trying to get context from him on when did that happen. And it sounds like almost that was so rejuvenating for him and so inspiring that it then carried him into actually taking the company public. That was part of that trajectory. So what a serendipitous moment.

Jessica: Well, yeah. And here's what I wanted to know about. He even said he had been doing really well and then he was failing. Publicly, he had been a high-flyer. And how do you dig yourself out of that hole? Most companies just die or become super irrelevant. It just seems so rare to have all these struggles that are really big and pick yourself up and still be able to go public and flourish. I'm so impressed with him.

Carolynn: Yeah. Also, important is that it's been 18 years, this has been an 18-year journey for him.

Jessica: Yeah.

Carolynn: That's a long time. He's stuck at it, he's been successful. He's obviously experienced pitfalls and figured it out. And he's low-key about it all, and that's really impressive too.

Jessica: Very. He perseveres, clearly.

Carolynn: Yeah.

Jessica: And just finally, I'm so impressed with all the stuff Drew did to make himself a better leader and CEO. It's a ton of work, but it makes such a difference when you're playing at his level.

Carolynn: Oh, I was just going to say, in your free time, you could just watch television or get on Twitter. And instead, he did his full-time job and then went to work on himself. And that is impressive.

Jessica: Really impressive. He's so impressive.

Carolynn: Oh.

Jessica: I loved catching up with him. I think it's going to be a really interesting episode. Can't wait to hear it.

Carolynn: Yeah, me too. I'm glad we got him for such a good amount of time too.

Jessica: Yeah. All right, C Levy, I'll see you soon.

Carolynn: Okay. See you soon.

Jessica: Okay. Bye.

Carolynn: Bye.